Trading Window – 2010 to 2021

Position Sizing – Fixed 2 Lots (No increment with capital)

Transaction/Slippage Cost – 0.002%

EOD exit – 3.15 PM (IST)

Result

Below is the result table when we run the back testing with three different combinations of short and long EMAs.

Short EMA	Long EMA	Initial Capital	Ending Capital	Accuracy	Profit Factor	Maximum Drawdown	Losing Trades (continuous)	Total Trades (10 yrs)
4	54	350,000	932,050	41%	1.25	14%	10	985
5	30	350,000	1,057,190	40%	1.24	19%	17	1261
6	60	350,000	931,860	43%	1.34	14%	8	777

System 3 – Initiative Buying (Gap-ups)

Do you know why these gaps occurred when the market opened?

Some critical information (either positive or negative) has come out between the previous market close and the current market open.

If the information was out on the previous trading day, during market hours, the players would have already taken a favorable position. But it was released after the market closure, and hence it resulted in a significant gap open.

If the information is positive, it results in a gap-up open, and if the information is negative, it results in a gap-down open.